



**BUSINESS
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Giving Purpose to Potential



FEDERAL INCOME TAX ACCOUNTING (140)

STATE – 2020

Multiple Choice & Short Answer Section:

Multiple Choice (20 @ 2 points each) _____ (40 points)

Production Portion:

Problem 1: Schedule A (16 @ 3 points each) _____ (48 points)

Problem 2: 1040 (19 @ 3 points each) _____ (57 points)

Problem 3: Tax Liability (10 @ 2 points each) _____ (20 points)

TOTAL POINTS _____ ***(165 points)***

**Graders: Please double check and verify
all scores and answer keys!**

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Workplace Skills Assessment Program competition.

General Instructions

You have been hired as a Financial Assistant and will be keeping the accounting records for Professional Business Associates, located at 5454 Cleveland Avenue, Columbus, Ohio 43231. Professional Business Associates provides accounting and other financial services for clients. You will complete jobs for Professional Business Associates' own accounting records, as well as for clients.

You will have 90 minutes to complete your work. The test is divided into two parts. The multiple choice and short answer questions should be completed first, and then the accounting problems may be completed in any order.

Your name and/or school name should NOT appear on any work you submit for grading. Write your contestant number in the provided space. Staple all pages in order before you turn in your test.

Assumptions to make when taking this assessment:

This test is using 2018 Federal Income Tax Laws.

Part 1-
Question Answer Section

1. A
2. D
3. B
4. C
5. B
6. B
7. B
8. A
9. C
10. D
11. D
12. C
13. B
14. D
15. B
16. A
17. C
18. B
19. C
20. B

Part 2: Form and Schedule Completion

PROBLEM #1 (48 points, 3 points each)
EDWARD BETTER-CHEDDAR

<u>Line #</u>	<u>Amount</u>	
Line 1	8,170	
Line 2	98,600	
Line 3	7,395	
Line 4	775	
Line 5a	4,800	
Line 5b	11,020	(8400 – 350 + 2970)
Line 5c	110	

FEDERAL INCOME TAX - STATE 2020**ANSWER KEY**

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Line 5d	15,930
Line 5e	10,000
Line 7	10,000
Line 8a	6,780
Line 10	6,780
Line 11	2,200
Line 12	230
Line 14	2,430
Line 16	Gambling
Line 16	1,000
Line 17	20,985

PROBLEM #2 (19 @ 3 points each, 57 total points)**DED RINGER**

<u>Line #</u>	<u>Amount</u>
Line 1	73,400
Line 2a	510
Line 2b	640
Line 3a	860
Line 3b	860
Line 6	4300
Line 7	79020
Line 8	24000
Line 10	55020
Line 11a	6120
Line 11	6120
Line 12a	4000
Line 12	4000
Line 13	2120
Line 15	2120
Line 16	4630
Line 18	4630
Line 19	2520
Line 20a	2520

Qualified Dividends are taxed at 0%

PROBLEM #3

Tax Look-up (10 @ 2 points each, 20 total points)

For each of the following situations, use the attached tax tables to find the tax liability

Marital Status	Taxable Income	Tax Liability
MFJ	22,860	2,364
S	56,520	8,375
HOH	38,665	4,369
MFS	57,850	8,672
QW	48,660	5,460